

Daraz Sri Lanka — Workshop

Presentation Q&A Pack

IT3120 — Modern Enterprise Management · Workshop 1 · Case Study — Daraz

Source note: The frameworks (POLC, 4Ps, SWOT) come from the IT3120 module material. **Daraz-specific company facts are extra explanation and must be verified by your group** before the presentation. If the panel asks for a figure you have not verified, say *"we could not verify that publicly"* — never invent numbers.

PRIORITY KEY — READ THIS FIRST

Tag	Meaning	How to use it
HIGH	Very likely to be asked / high mark impact	Memorize the full answer — maps directly to Management & Marketing Analysis (20% each)
MED	Medium probability	Know the key points and 2–3 supporting facts
LOW	Easy / low risk	A one-line answer is enough
CORE	Foundation	You must know this or nothing else makes sense
TRAP	Common mistake	The panel is testing whether you fall for it — read the warning carefully
TIP	Answer technique	How to structure or deliver the answer
RUBRIC	Links to a rubric criterion	Saying this earns marks under a named criterion

RUBRIC THIS PACK IS BUILT AGAINST

Criterion	Weight	Covered by
Management Analysis	20%	Section 1
Marketing Analysis	20%	Section 2
Integration of Concepts	15%	Section 3
Critical Thinking & Justification	15%	Section 4
Content and Slides	10%	Section 6
Presentation Skills & Team Participation	not confirmed	Section 7

TRAP — the visible criteria total 80%. The final percentage was **not confirmed** in the photo — verify it on Courseweb.

UNIVERSAL ANSWER FORMULA

Every answer, 30–45 seconds, in this order:

1. POINT → Direct answer in one sentence
2. REASON → Why (name a theory term in English)
3. EXAMPLE → A concrete Daraz example
4. TRADE-OFF → The limitation or risk

TRAP — Never answer only "yes" or "no" and stop. That kills the **Critical Thinking & Justification** mark.

Section 1 — Management Analysis (20%)

CORE Q1. What is Daraz's business model?

Daraz is an **online marketplace platform**, not a retailer or manufacturer. Independent third-party sellers list and own the products, while Daraz provides the platform, payment processing, logistics, and buyer protection. Revenue comes from **commissions, advertising, seller services, and logistics fees**. It was founded in 2012 and acquired by **Alibaba Group in 2018**, and operates in Sri Lanka, Pakistan, Bangladesh, Nepal, and Myanmar.

TRAP — Daraz does **not** hold its own stock like Amazon does. Get this wrong and every management answer collapses.

HIGH Q2. Apply the POLC framework to Daraz.

Function	Daraz application
Planning	Market expansion, category growth, seasonal mega-campaigns (11.11, 12.12, Daraz Birthday)
Organizing	Commercial, Marketing, Operations/Logistics (Daraz Express), Technology, Finance, Seller Support departments; hub-and-spoke delivery network
Leading	Alibaba-influenced management practices, multicultural team leadership, motivating the seller ecosystem through ratings and incentives
Controlling	Seller performance metrics, delivery SLA monitoring, return/refund policy, customer review system

RUBRIC Naming the four functions explicitly earns **Integration of Concepts** marks.

HIGH Q3. Which POLC function is most critical for Daraz, and why?

Controlling. Planning, organizing, and leading are supported by Alibaba's strategy and established structures. But because product quality and delivery are executed by **external sellers and partners**, control failures directly damage customer trust — the platform's most valuable asset. *[Likely]* **Organizing** is a defensible alternative, given the complexity of coordinating logistics, sellers, and technology across five countries.

TRAP — Do not answer "all of them are important." The panel is testing whether you can **choose and justify**.

HIGH Q4. Why is the controlling function difficult in Daraz's model?

Because Daraz does not own the inventory, it cannot **directly** control quality, authenticity, or packaging. It must use **indirect control mechanisms** — seller ratings, ship-on-time rates, cancellation rates, penalties, and buyer protection. This leaves a control gap that produces counterfeit and quality complaints. The trade-off: stricter control reduces seller numbers and product assortment, weakening the platform's core value proposition.

HIGH Q5. Compare the marketplace model with the inventory-based model.

Aspect	Marketplace (Daraz)	Inventory-based
Inventory ownership	Sellers	Company
Revenue source	Commission + services	Product margin
Capital requirement	Low	High
Quality control	Indirect	Direct
Scalability	Very high	Limited
Main risk	Reputation risk	Unsold-stock risk
Management focus	Seller governance	Procurement & warehousing

MED Q6. What are the levels of management at Daraz?

- **Top management** — Country CEO / regional leadership: strategy, market entry, major investment
- **Middle management** — Category managers, regional logistics managers, marketing managers: convert strategy into departmental plans
- **First-line management** — Warehouse supervisors, delivery hub leads, customer-service team leads: day-to-day execution

MED Q7. What does a middle manager actually do at Daraz?

They translate top management's goals into departmental action. Example: a category manager converts "*grow electronics GMV by 30%*" into seller-recruitment targets, a promotional calendar, and pricing campaigns, then supervises first-line staff and reports performance upward.

HIGH Q8. What are the challenges of managing operations across five countries?

Cultural and language differences, uneven digital and payment infrastructure, differing regulatory and import regimes, currency and forex volatility, and inconsistent logistics maturity. Daraz addresses these with a **decentralized country structure** and centralized technology from Alibaba. The core trade-off is **standardization (efficiency) vs. localization (market fit)**.

MED Q9. What impact did the Alibaba acquisition have?

It provided capital, proven e-commerce technology, logistics expertise, and management practices, and introduced campaign models such as 11.11 plus seller-training programmes. *[Possible]* The risk is over-dependence on a parent-company playbook designed for the Chinese market, which may not fit South Asian realities such as low card penetration and rural logistics gaps.

MED Q10. Explain cross-functional coordination at Daraz.

A single mega-campaign requires Marketing (promotion), Commercial (seller deals), Technology (platform load capacity), Operations (warehouse and fleet capacity), and Finance (voucher budget) to work simultaneously. Failure in any one function ruins the campaign — this is why **cross-functional coordination** is a core management capability for the platform.

MED Q11. What are Daraz's key control metrics?

Seller rating, ship-on-time rate, order cancellation rate, return rate, delivery SLA compliance, customer complaint volume, and review scores.

LOW Q12. Name the main departments of Daraz.

Commercial/Category, Marketing, Operations & Logistics (Daraz Express), Technology/Engineering, Finance, Seller Support, and Customer Service.

MED Q13. Apply Mintzberg's managerial roles to a Daraz category manager.

- **Interpersonal** — Leader of the category team; liaison with sellers and brands
- **Informational** — Monitors sales and competitor pricing; disseminates targets; acts as spokesperson to sellers
- **Decisional** — Entrepreneur (launches new categories), disturbance handler (stock-outs during campaigns), resource allocator (voucher budgets), negotiator (seller commission terms)

MED Q14. How does Daraz manage its logistics network?

Through **Daraz Express (DEX)**, a hub-and-spoke network of sorting centres and last-mile hubs, supplemented by third-party logistics partners and customer pickup/collection points. Management focus areas are route optimization, delivery time, and failed-delivery reduction.

MED Q15. How does Daraz manage its seller ecosystem?

Through onboarding and training programmes, performance-based ranking and visibility, promotional participation incentives, badges and seller tiers, and penalty systems for poor performance. This is **motivation and control applied to external parties** rather than employees — the defining

management challenge of a platform business.

LOW Q16. What is Daraz's organizational structure type?

[Likely] A hybrid — functionally organized within each country (marketing, operations, commercial) and geographically divided across the five markets, with centralized technology and strategy at group level.

MED Q17. What operational risks does Daraz face?

Delivery delays outside main cities, warehouse capacity strain during mega-campaigns, platform downtime under peak load, counterfeit products, high COD return rates, and dependence on third-party logistics partners.

LOW Q18. Who are Daraz's key stakeholders?

Customers, third-party sellers, employees, delivery partners and riders, Alibaba Group (owner), payment providers and banks, regulators and customs authorities, and advertisers.

Section 2 — Marketing Analysis (20%)

HIGH Q19. Apply the Marketing Mix (4Ps) to Daraz.

P	Daraz
Product	The platform itself — app and website. Wide assortment across electronics, fashion, groceries, home. Services include Daraz Mall (authentic brands), wallet/payments, and buyer protection
Price	Value / cost-leadership positioning — low prices, vouchers, flash sales, free-delivery thresholds, cash on delivery. Sellers compete on price within the platform
Place	Mobile app (primary channel), website, island-wide delivery, pickup/collection points, DEX last-mile fleet, 3PL partners
Promotion	11.11 and 12.12 mega sales, in-app gamification, push notifications, influencer and social media marketing, digital and TV advertising, seller-funded vouchers

HIGH Q20. What is Daraz's positioning strategy?

A **value-based, cost-leadership positioning** — the widest selection at the lowest price with convenient delivery. It is an accessible mass-market platform, not a premium brand. The trade-off is thin margins and low switching costs, because customers are attracted by price rather than brand loyalty.

TRAP — Do **not** call Daraz a premium brand. Apple is premium; Daraz is value. Mixing these up is an obvious error to the panel.

HIGH Q21. Describe Daraz's target market segmentation.

Basis	Segment
Demographic	18–40 years, middle and lower-middle income
Geographic	Urban core, expanding into semi-urban and rural
Behavioural	Price-sensitive, deal-seeking, mobile-first
Psychographic	Convenience-oriented, digitally confident, value-conscious

Segmentation is primarily **behavioural and geographic**, and the marketing mix is adapted accordingly — COD and free delivery for lower-trust rural segments, Daraz Mall and digital payments for urban brand-conscious buyers.

HIGH Q22. What is the marketing objective of the 11.11 campaign?

It is a **demand-concentration strategy**: acquire new customers, reactivate dormant users, clear seller inventory, and generate a large share of annual GMV in a short window, while reinforcing the low-price association. The trade-offs are severe logistics strain, a post-campaign demand slump, and training customers to buy only during discount periods.

HIGH Q23. What are the marketing advantages and operational costs of COD?

Advantage	Cost
Removes the payment-trust barrier	High return and refusal rates
Serves customers without cards or wallets	Cash handling and reconciliation cost
Expands the addressable market into rural areas	Delayed cash flow
Reduces perceived purchase risk	Higher failed-delivery expense

Reducing COD dependence is a strategic priority, but it must be phased to avoid excluding rural customers.

MED Q24. How does gamification support customer retention?

In-app games, daily coin collection, and voucher hunts increase **app engagement frequency and session time**, building habit-based usage rather than purchase-only visits. This raises retention and lowers acquisition cost over time. The risk is engagement that never converts — users who collect rewards without buying add cost without return.

HIGH Q25. Why was Daraz Mall created?

It is a **trust-assurance mechanism** addressing the counterfeit weakness of the open marketplace. It hosts only authorized brands and official sellers with stronger return guarantees. In marketing terms it is a **segmented sub-brand** allowing Daraz to serve quality-sensitive customers without abandoning the low-price mass market.

RUBRIC This answer links Management (control weakness) to Marketing (segmentation) — a direct **Integration of Concepts** mark.

MED Q26. What is Daraz's value proposition?

Convenient access to a very wide product assortment at competitive prices, with island-wide delivery, flexible payment including COD, and buyer protection — all from a mobile phone.

MED Q27. How does Daraz acquire new customers?

First-purchase vouchers, referral incentives, mega-campaign advertising, influencer and social media marketing, app-install campaigns, and free-delivery offers on the first order.

MED Q28. How does Daraz retain customers?

Loyalty coins and vouchers, gamification, personalized recommendations, push notifications, buyer protection and easy returns, and Daraz Mall for quality assurance.

LOW Q29. What promotional channels does Daraz use?

In-app notifications, email and SMS, social media, influencer partnerships, digital display advertising, TV, and seller-funded on-platform promotions.

MED Q30. Why is Daraz described as mobile-first?

Sri Lankan internet usage is dominated by smartphones rather than desktops. The app enables push notifications, gamification, and location-based delivery features that a website cannot match, so the app is the primary marketing and sales channel.

MED Q31. What is the role of customer reviews in Daraz's marketing?

Reviews provide **social proof**, reduce purchase uncertainty in the absence of physical inspection, and feed the ranking algorithm. They also act as a control mechanism, because poor reviews reduce seller visibility.

LOW Q32. What is GMV?

Gross Merchandise Value — the total value of goods sold through the platform over a period. It is not Daraz's revenue; Daraz earns only a commission on that value.

TRAP — Confusing GMV with revenue is a classic mistake. The panel may test this deliberately.

MED Q33. How does Daraz price its services to sellers?

Through category-based commission rates, optional advertising and sponsored-listing fees, fulfilment and delivery service charges, and payment-processing fees.

Section 3 — Competitive Analysis

HIGH Q34. Who are Daraz's main competitors in Sri Lanka?

- **Kapruka** — established local e-commerce, strong in gifting and diaspora orders
- **ikman.lk** — classifieds/C2C, dominant in used goods and vehicles
- **MyDeal, Wasi, Takas** and similar local platforms
- **Social commerce** — Facebook, WhatsApp, Instagram sellers
- **Supermarket online channels** — Keells, Cargills, Glomark
- **Traditional physical retail** — still the largest overall competitor

HIGH Q35. Present a SWOT analysis for Daraz.

Strengths	Weaknesses
Alibaba backing — capital and technology	Counterfeit and product-quality issues
Largest marketplace scale in Sri Lanka	Discount dependency, thin margins
Own logistics arm (DEX)	Delivery delays outside main cities
COD builds trust	Inconsistent seller professionalism
Strong brand recall for online shopping	High COD return rates

Opportunities	Threats
Rural e-commerce growth	Social commerce with zero commission
Digital payment adoption	Import restrictions and forex controls
Fintech, BNPL, insurance services	Rising fuel and delivery costs
Grocery and quick commerce	Trust erosion from bad sellers
Seller-services monetization	Local platforms and supermarket channels

HIGH Q36. Is social commerce a real threat to Daraz?

Yes, meaningfully. Facebook and WhatsApp sellers offer personal interaction, negotiable pricing, and zero platform commission, which appeals strongly to price-sensitive buyers. Their weaknesses are no buyer protection, no formal returns, and no delivery guarantee. Daraz should therefore compete on **trust — buyer protection, verified sellers, reliable returns** — because it cannot beat a zero-commission seller on price.

HIGH Q37. Compare Amazon and Daraz.

Factor	Amazon	Daraz
Model	Hybrid: own inventory + marketplace	Pure marketplace
Payment	Card and digital dominant	COD dominant
Logistics	Highly automated fulfilment centres	Manual/semi-automated hub-and-spoke
Positioning	Convenience and speed (Prime)	Price and accessibility
Revenue diversity	AWS, ads, subscriptions	Commission, ads, logistics
Market context	Developed markets	Emerging markets

MED Q38. What is Daraz's competitive advantage?

Scale of assortment, an owned last-mile logistics network, Alibaba's technology and capital, and brand recall as the default online shopping destination in Sri Lanka. *[Possible]* None of these is fully defensible long-term except the logistics network, which is expensive for a competitor to replicate.

MED Q39. Which generic strategy does Daraz follow?

Cost leadership with broad market scope — low prices at large scale for a mass audience, rather than differentiation or focus.

Section 4 — Critical Thinking & Justification (15%)

HIGH Q40. Is discount-led marketing sustainable for Daraz?

No, not long-term. Continuous discounting compresses margins, trains customers to buy only during sales, and creates low switching costs because competitors can match prices. It builds transaction volume but not loyalty. A sustainable path is a gradual shift to **loyalty-led differentiation** — reliable delivery, authentic products, superior service. The trade-off is a short-term GMV decline during the transition, which is hard to justify to growth-focused investors.

HIGH Q41. What is the single biggest threat to Daraz?

[Likely] **Erosion of customer trust** from counterfeit products and delivery failures, because trust is the foundation of an intermediary business. Price can be matched and regulation adapted to, but once trust is lost customers migrate permanently to physical retail or social commerce. Economic threats such as import restrictions are severe but external and temporary; trust damage is self-inflicted and long-lasting.

HIGH Q42. State your recommendations with justification and risk.

#	Recommendation	Why	Risk	Mitigation
1	Strengthen seller vetting and counterfeit detection	Trust is the main barrier to repeat purchase	Fewer sellers, narrower assortment, higher compliance cost	Tiered enforcement, starting with high-risk categories
2	Shift customers from COD to digital payment	COD raises returns, cash-handling cost, and failed deliveries	Rural customers without digital access may drop off	Incentivize digital payment with vouchers; retain COD for low-value orders
3	Build regional micro-warehouses	Reduces last-mile time outside Colombo	High fixed cost in low-volume districts	Pilot in two high-demand regional cities first
4	Move from discount-led to loyalty-led marketing	Discount dependency destroys margin and loyalty	Short-term GMV and traffic decline	Phase over 12 months, measure retention not just GMV

TRAP — If you state a recommendation with no risk attached, you lose **Critical Thinking & Justification** marks. Never separate the two.

HIGH **Q43. What would happen if Daraz exited Sri Lanka?**

Small and medium sellers would lose low-cost access to a national customer base, and logistics and support jobs would be affected. Kapruka, ikman, and social commerce would absorb demand, but the market would fragment with weaker buyer protection and higher search costs. *[Possible]* In the medium term this would slow national e-commerce adoption, since Daraz currently drives much of the market education and digital-payment usage.

MED **Q44. How should Daraz respond to economic downturn and import restrictions?**

Shift category focus toward locally produced and essential goods, support local sellers and manufacturers, offer smaller basket sizes and instalment or BNPL options, and reduce fixed logistics cost through route consolidation. The risk is a lower average order value, which pressures unit economics.

MED **Q45. How can Daraz improve delivery reliability?**

Regional micro-warehouses, better route optimization, delivery-partner performance incentives, accurate delivery-window communication, and pre-delivery confirmation calls to cut failed COD deliveries. The trade-off is higher operating cost per order.

MED **Q46. Should Daraz move into quick commerce (groceries in under an hour)?**

[Possible] It is attractive for order frequency and habit formation, but it demands dark stores, dense rider networks, and cold-chain capability — a fundamentally different operating model with poor unit economics outside dense urban areas. A limited Colombo pilot is defensible; a national rollout is not.

MED **Q47. What is the biggest weakness in your own analysis?**

[Certain] A strong answer here earns credibility: *"Our analysis relies on publicly available information and does not include internal financial data such as margin, customer acquisition cost, or retention rates. Our recommendations are therefore directional rather than quantitatively validated."*

RUBRIC Admitting a limitation honestly scores **higher** than pretending completeness.

MED **Q48. If Daraz could fix only one thing, what should it be?**

Product authenticity and quality control. It underlies the largest weakness (counterfeits), the largest threat (trust erosion), and the main reason customers migrate to physical retail. Fixing it strengthens both management control and marketing positioning simultaneously.

Section 5 — Integration of Concepts (15%)

HIGH Q49. How do management and marketing decisions connect at Daraz?

The weak **controlling** function (counterfeits) directly damages the **marketing** asset of trust. Daraz Mall is the response — a management control mechanism deployed as a marketing sub-brand. Similarly, the marketing decision to offer COD creates an operational control burden of returns and cash handling. Management and marketing decisions cannot be evaluated separately in a platform business.

RUBRIC This is the single highest-value integration answer in the pack. Memorize it.

MED Q50. How does the marketing mix create operational requirements?

Promotion (11.11) creates a warehouse and fleet capacity requirement; Place (island-wide delivery) creates a logistics network requirement; Price (low margin) creates a cost-efficiency requirement; Product (wide assortment) creates a seller-governance requirement. Each P generates a management obligation.

MED Q51. Which learning outcomes of the module does this case cover?

Organizational functions (LO1) through the departmental and logistics structure, and management concepts (LO2) through POLC, management levels, and control mechanisms, with marketing analysis supporting both.

Section 6 — Slide & Process Questions

MED Q52. What are your data sources?

The Daraz Sri Lanka website and app, publicly available Alibaba Group announcements, and Sri Lankan business news reports, combined with the management and marketing frameworks from the IT3120 lecture material. Where figures were not publicly verifiable, they are presented as qualitative observations rather than precise data.

TRAP — If asked for a specific number you have not verified, say so. *"We could not verify that figure publicly"* is far better than a wrong number.

LOW Q53. Why did you choose this structure for the presentation?

It follows the assessment criteria order — management analysis, marketing analysis, competitive position, then integrated recommendations — so that each section maps to a rubric component and the recommendations follow logically from the analysis.

LOW Q54. Which part of the analysis was most difficult?

An honest, specific answer works best: *"Separating verified public information from assumption. We resolved it by labelling unverified points as observations rather than facts."*

Section 7 — Team Participation Questions

HIGH Q55. What was your contribution to this presentation?

Template — fill in your own section and memorize it:

"I was responsible for the [Competitive Analysis and Recommendations] section. I researched Daraz's main competitors — Kapruka, ikman, MyDeal, and social-commerce sellers — built the SWOT, and developed the justification and risk assessment for each recommendation. I also proofread the final deck and took part in two full rehearsals."

TRAP — This is the most likely question for a **non-presenting** member. If you cannot name your section instantly, you lose **Team Participation** marks. Prepare it today.

MED Q56. How did your group divide the work?

Name the ownership map: each rubric criterion had an owner, content was drafted individually, then reviewed together in two full-group sessions before rehearsal.

MED Q57. Why are only two members presenting?

Per the module workshop instructions, only one or two members present per workshop, and members who present cannot present again in upcoming workshops, so that every member takes a turn across the five presentations. The group agreed the rotation order in advance.

Quick-fire one-liners

#	Question	Answer
58	Daraz's parent company?	Alibaba Group (since 2018)
59	How many countries?	5 — Sri Lanka, Pakistan, Bangladesh, Nepal, Myanmar
60	Daraz's logistics arm?	Daraz Express (DEX)
61	Founded?	2012, originally under Rocket Internet
62	Biggest sale event?	11.11
63	Positioning?	Value / cost leadership — not premium
64	Dominant payment method?	Cash on delivery
65	Weakest POLC function?	Controlling
66	Biggest weakness?	Counterfeit and quality issues
67	Biggest threat?	Trust erosion
68	Revenue model?	Commission, ads, seller services, logistics fees
69	GMV vs revenue?	GMV is total goods value; revenue is only Daraz's commission
70	Trust sub-brand?	Daraz Mall

English keywords to memorize

marketplace business model · third-party sellers · indirect control mechanism · seller governance · seller ecosystem · POLC framework · cross-functional coordination · hub-and-spoke network · last-mile delivery · cash on delivery (COD) · buyer protection · cost leadership strategy · value proposition · market segmentation · demand concentration · social proof · gross merchandise value (GMV) · switching cost · trust-led differentiation · social commerce · trade-off · justification · risk mitigation · phased rollout · qualitative observation

Final checklist — before the workshop

- ☐ I can name **my own section** in one sentence
- ☐ I have read and can explain **every slide**, not only mine
- ☐ I know the **top 10 HIGH answers** without notes
- ☐ I know the **TRAPs**: not premium, does not own inventory, GMV $\neq$ revenue
- ☐ Every recommendation has a **risk** attached
- ☐ Full deck **proofread** — spelling and grammar
- ☐ Deck timed at **under 10 minutes** in rehearsal
- ☐ Attendance confirmed — **absent = zero marks**
- ☐ Prepared **2 peer-review questions** for other groups
- ☐ Confirmed the missing rubric percentage on Courseweb

Prepared for IT3120 Workshop 1 — Case Study: Daraz. Frameworks from module material; company facts require group verification.